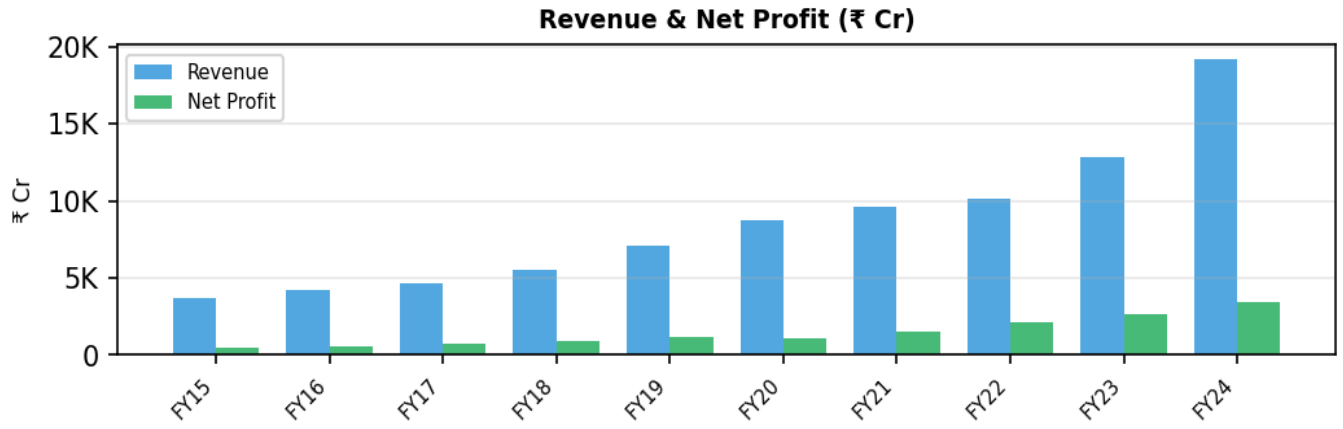
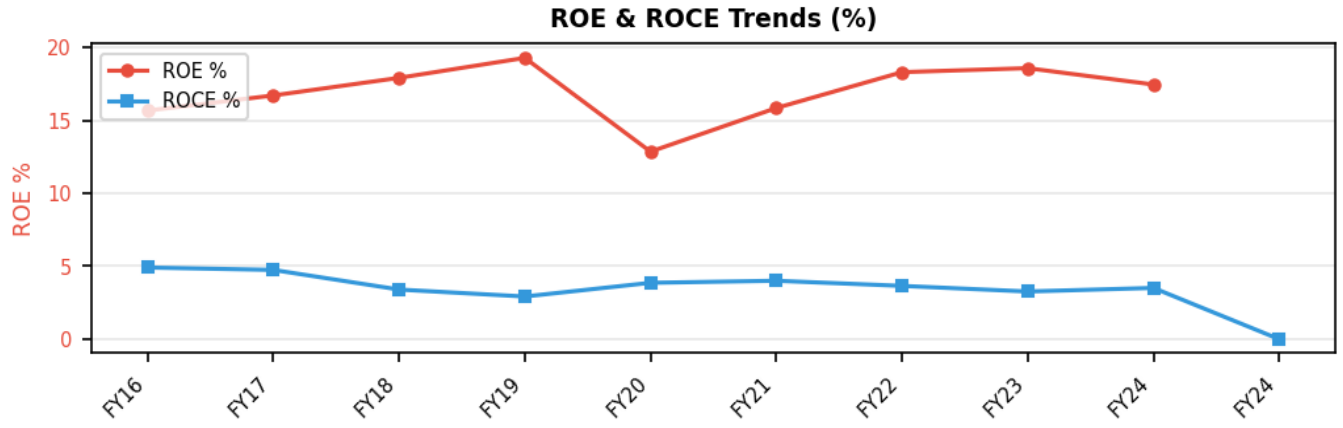
Cholamandalam Investment & Finance Company Ltd

CHOLAFIN | Financials | FY Basis: Sep 2024

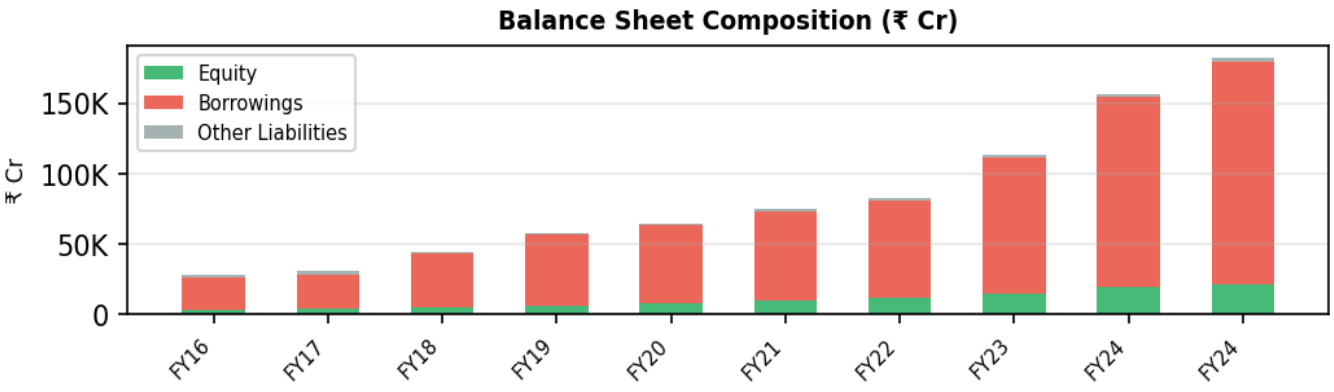
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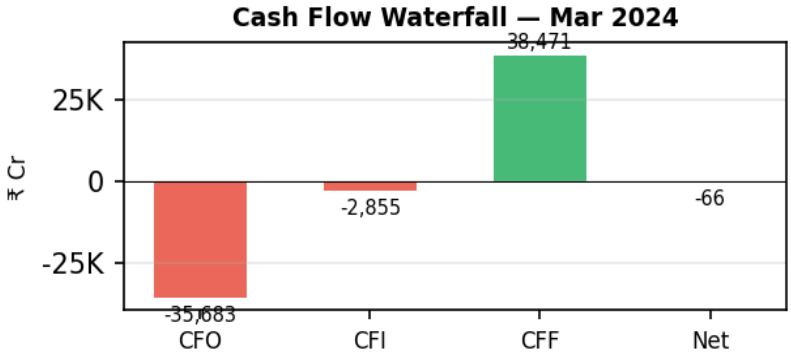
N/A ROE %	**0.0%** ROCE %	**N/A** Net Profit Margin
7.38 D/E Ratio	**21.9%** Rev CAGR 5yr	**N/A** FCF





Cholamandalam Investment & Finance Company Ltd — Detailed Analysis





Strengths

- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Risks

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern

Growth Funded by Debt